

Auto Financing Strategy

Kick-off

27th May 2025



McKinsey team

Banking expertise and senior oversight



Lino Abram
Senior Partner
Leader of Banking practice
in Spain & Portugal



Nunzio Digiaco
Senior Partner
Leader of Banking practice
in Italy & Mediterranean

Auto financing and Greek market experience



Romain Zilahi
Partner, Engagement Director
Expert in Auto and mobility-
related financing



Apostolos Zampelas
Partner
11+ years experience
in Greek market

Dedicated team on the ground



Marco Agnatica
Sr. Engagement Manager
Specialized B2B and
B2B2C banking projects



Martina Magni
Consultant
Expertise in banking



Alain El Gemayel
Consultant
Expertise in autofinance

Agenda



1 Eurobank current positioning in autofinance

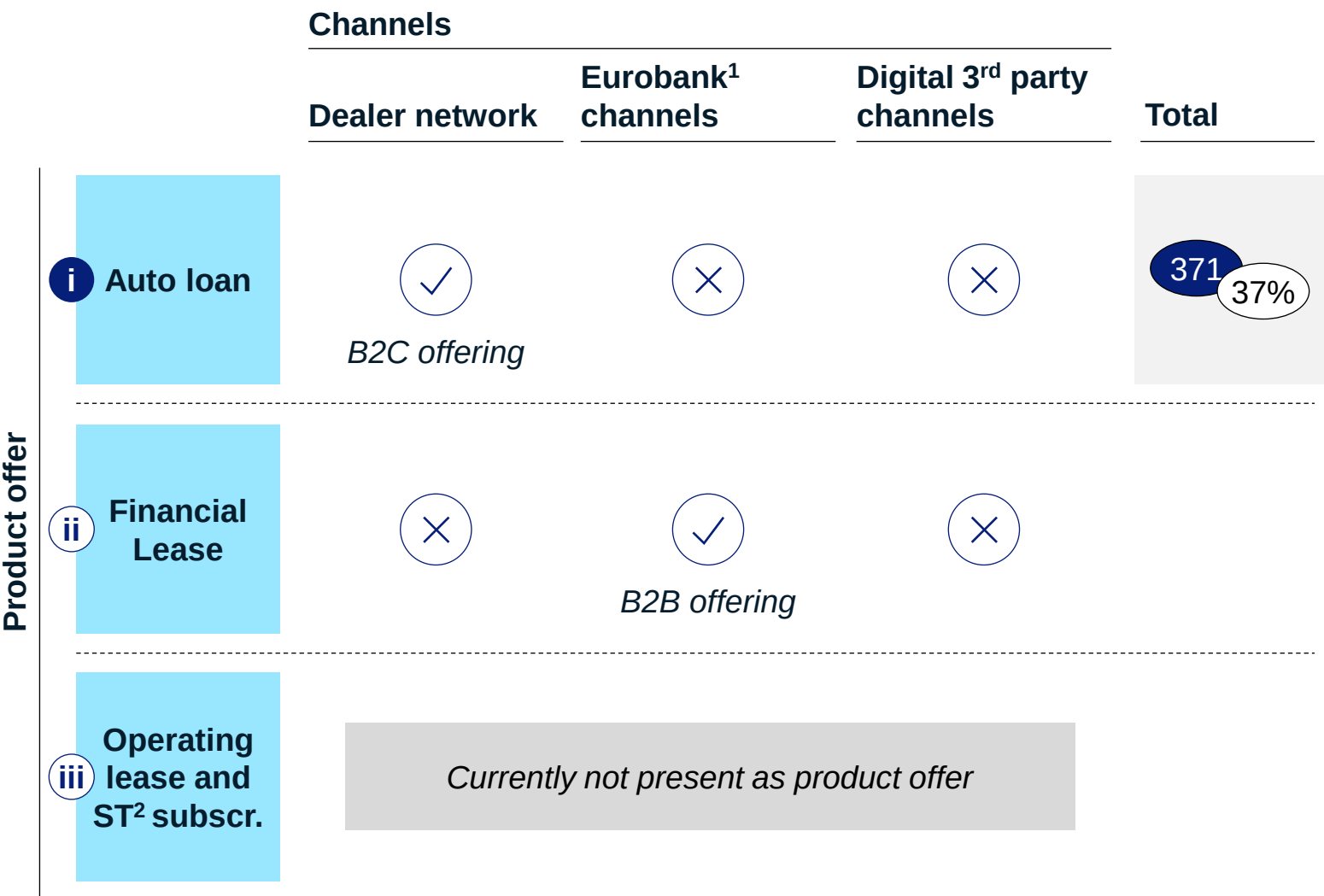
2 Project objectives, approach and governance

3 European market perspective and Eurobank value creation opportunities

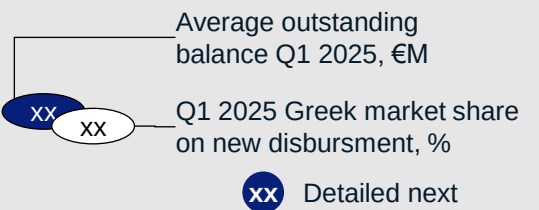
4 Priorities and next steps

Eurobank leads in retail autoloans via dealers, with growth potential in other products and channels

Mapping of current Eurobank product offer per channel



1. Online, App, Branches ; 2. Short term subscription ; 3. Points of Sale
Source: Internal Eurobank data

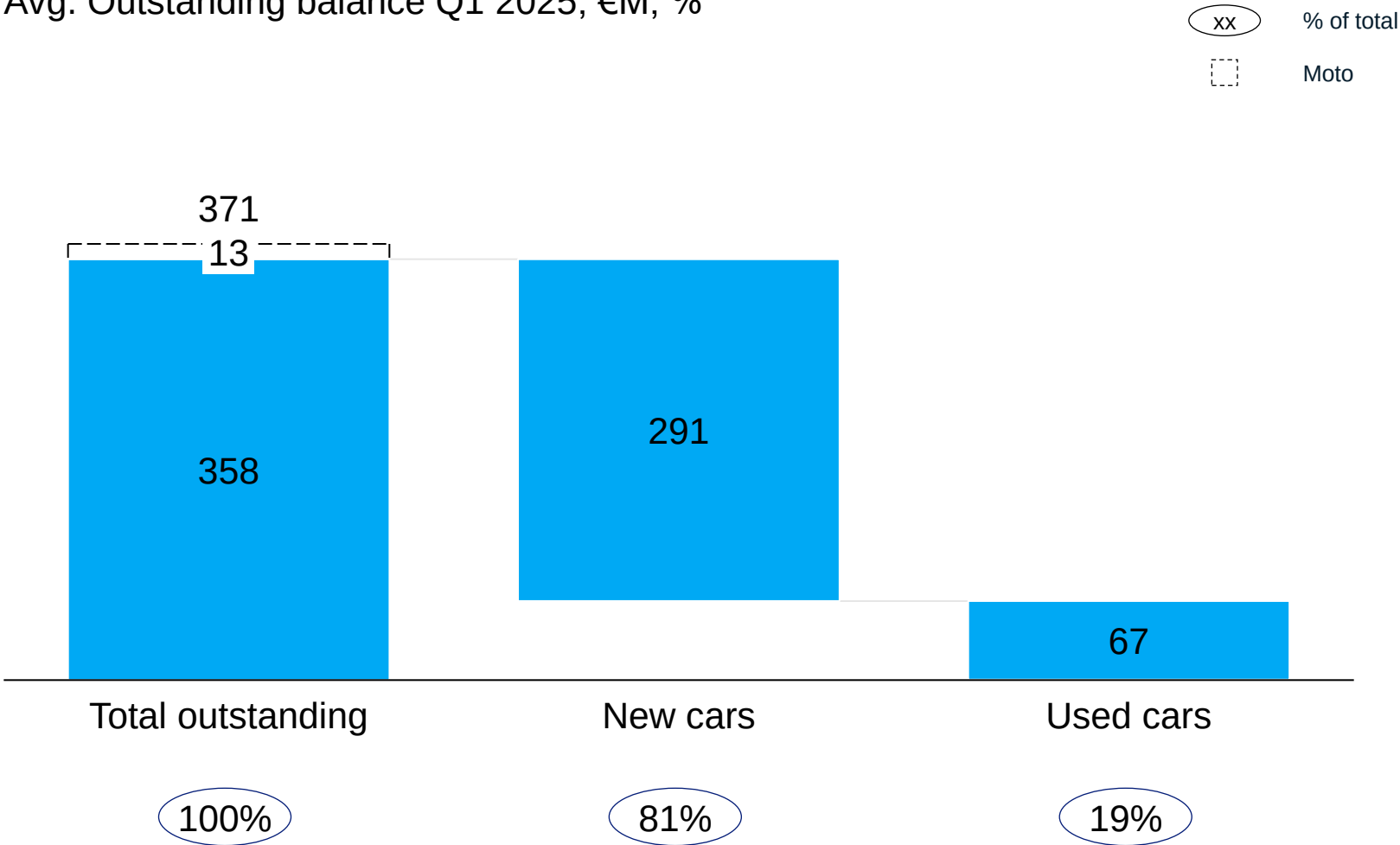


Key insights

- **Leading positioning** on new car financing supported by a **unique dealer network** with **560 active partnerships** across **800 PoS³**
- Potential to scale **leveraging Eurobank’s branch footprint** and **enhancing digital presence** (e.g., Alphabank/tbi on Car.gr)
- **Presence of a B2B financial leasing offering** for **dealers** and **rental companies**, provided through a dedicated legal entity (i.e., Eurobank Leasing)
- **No presence of a B2C financial leasing offering**
- **No current offering from Eurobank** in operating leasing and ST² subscription models
- **Market shifting from ownership to usership**, with growing demand for flexible mobility solutions
- **OEM captives** (e.g., Santander) and **new entrants** actively **expanding in this space**

i | Autoloan: new cars financing account for 81% of the outstanding balance

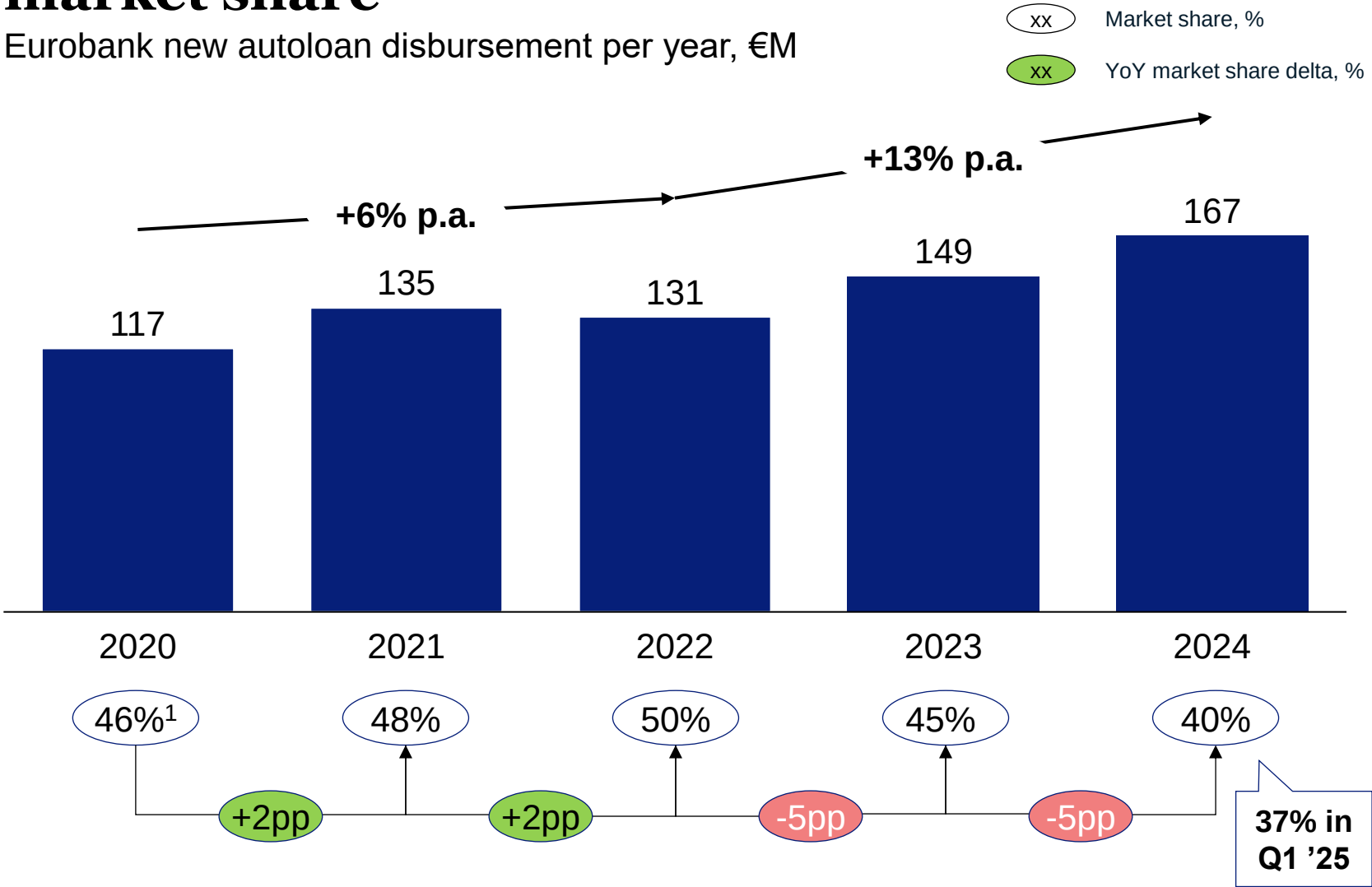
Avg. Outstanding balance Q1 2025, €M, %



81% of outstanding balance concentrated on new car financing, highlighting a growth opportunity for Eurobank in used cars financing

i | Autoloan: Growing business, but declining market share

Eurobank new autoloan disbursement per year, €M



Market shares exclude new entrants (e.g., Santander) and OEM captives (e.g., VW Financial Services)



Key strategic question for Eurobank

Is the decline in market share driven by losses within the dealer channel or by a lack of presence in emerging digital channels?

1. Calculated on Dec. 2020 data
Source: Bank annual reports, internal Eurobank data

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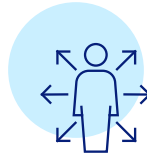
4 Priorities and next steps

Project objectives and scope of work

Project objectives

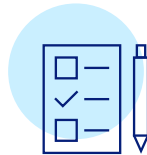
- **Develop a comprehensive business strategy** to **protect** and **expand Eurobank operations** in response to changing customer behavior and industry dynamics in **Greece**
- **Create a transferable model** that can be applied in other jurisdictions to **scale Eurobank autofinance abroad**

Scope of work



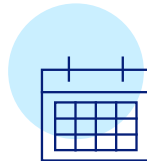
Market presence

Define “where to play”, identifying and prioritizing strategic options based on business potential and feasibility, considering Eurobank’s current positioning and core strengths



Key requirements for success

Assess “how to win” in target market opportunities, defining commercial model and value proposition, operating model set-up, credit policy retail and fleet financing management, asset/collateral management model, IT/digital capabilities needed



Implementation plan

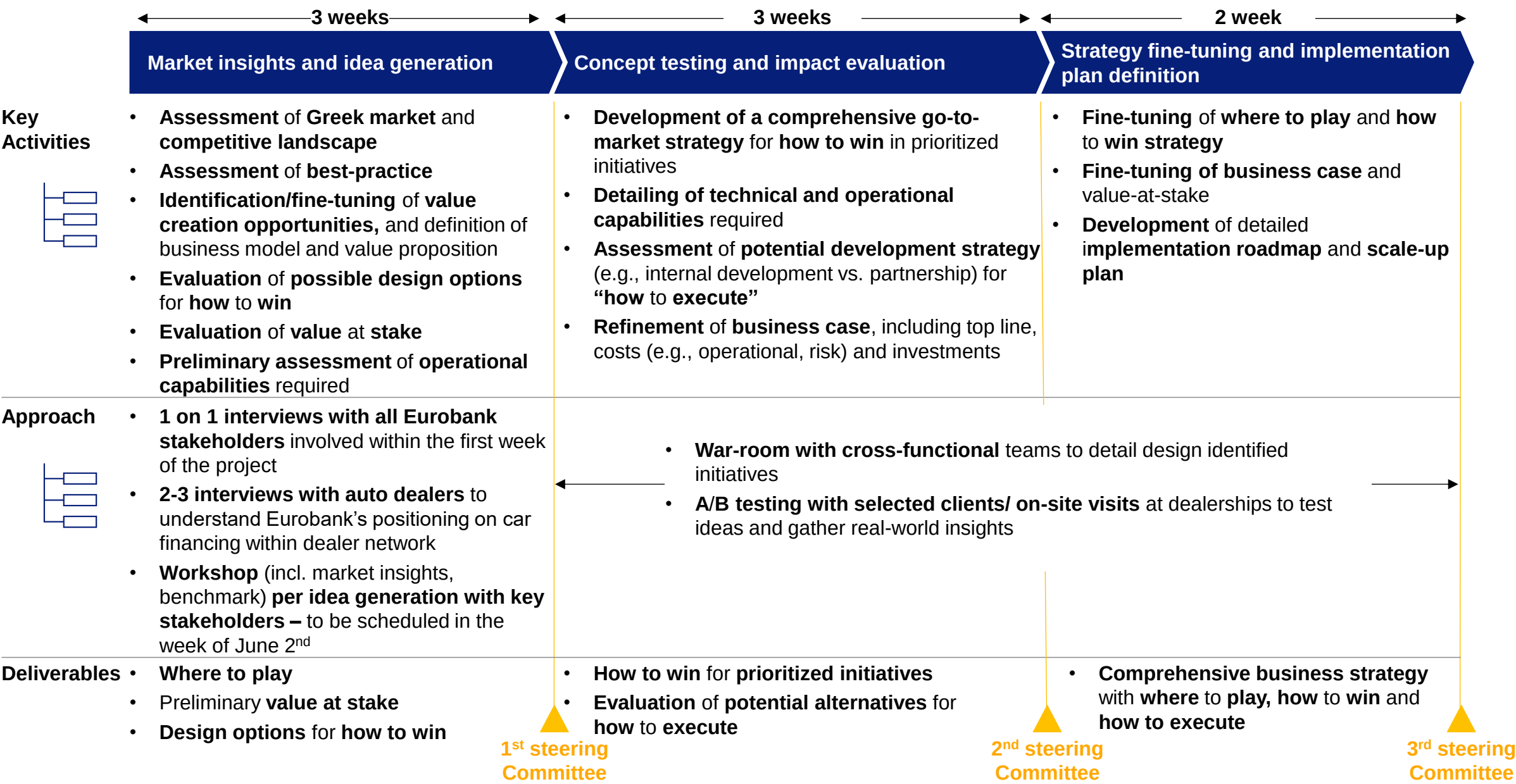
Propose “how to execute” the proposed strategy, detailing the development approach (organic or inorganic), required investments, resources and capabilities, as well as the implementation roadmap, go-to-market strategy, and scale-up plan

Project governance

Meetings	Objectives	Eurobank participants	Cadence
 Steering Committee	- Alignment on approach and strategic direction - Alignment on outcomes, stress-testing, and synthesis of findings	I. Giannaklis, Y. Serafimidis, S. Rentetakos, C. Psaltis	3 steering committee in week 3, week 6 and week 8
 OpCo	Project management and stakeholder engagement - Delivery of project success	E. Pantazi, V. Tzavella, V. Poulopatis, A. Karakerezis, O. Haralabidi, S. Marakis	Weekly (60 min)
 Daily catchups	Alignment on operational priorities, potential roadblocks	A. Tsolis, V. Tafroglou, V. Katsimardou, K. Vogiatzis; M. Velegarakis. M. Zakynthinou	Once per day (15 min)
 Working sessions	Review key analyses and develop core content for project deliverables	← Ad-hoc, on an as-needed basis →	

To ensure **full ownership of recommendations and delivery of the project**, proposal to have **1x project leader per value creation initiative** *(detailed in next chapter)*

Project approach and timeline



Agenda



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In Europe, several trends are reshaping the market, creating new opportunities for growth and innovation

1



Leasing as a highly growing and profitable market

4% p.a. growth in leasing until 2025 and growth to remain high

New car sales growing until 2025, cash purchases to decline due to price increases and increased leasing penetration for EV

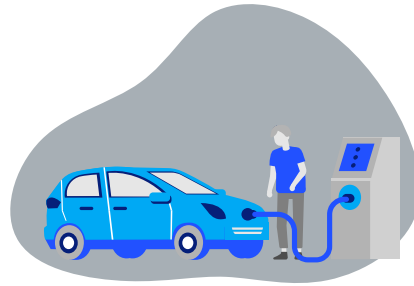
2



Consumers are more online

~40% of consumers already prefer online channels for financing options

3



Consumers are increasingly valuing flexible ownership

70% of consumers consider flexible ownership models more important than the vehicle brand

85% would be open to pay 5% to 10% more per month to have additional features

4

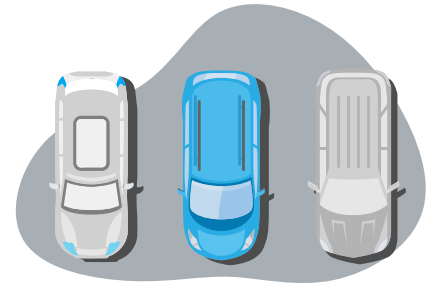


Residual value management core in leasing with higher EV volatility

Leading players choosing to develop their own tools to unlock the full RV potential

Higher volatility of EVs creating need for more advanced risk mitigation strategies

5



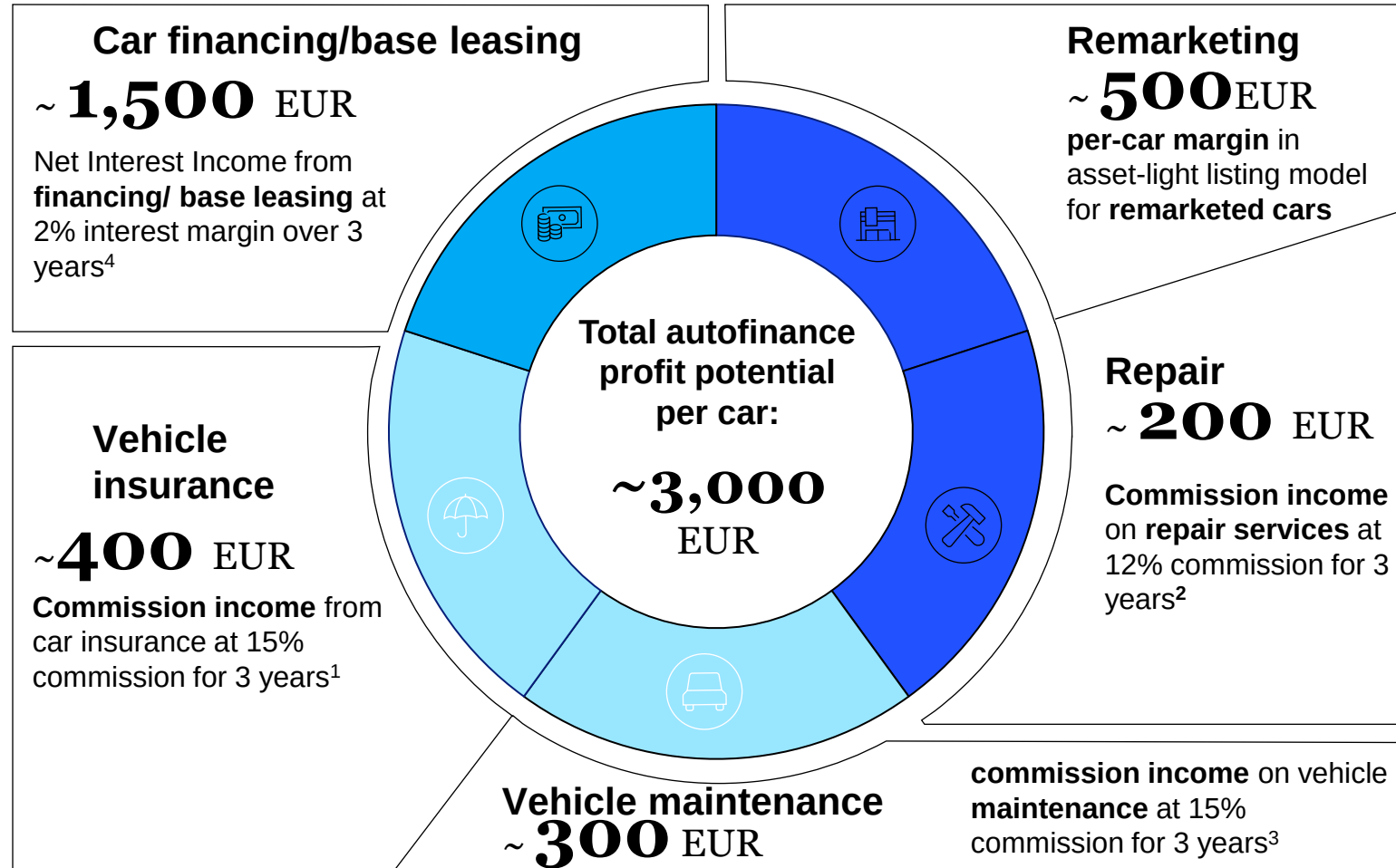
Full lifecycle view needed to meet an untapped used car opportunity

Used car market with significant increase further fuelled by shorter/more flexible leasing offerings

Currently high untapped potential

1 | Extending the product offering can help to tap significant value per vehicle

Calculations based on average vehicle of ~30,000 EUR and 3-year contract length



Client impact pathways

Increased profit through:

- **Build a financing offering**
- **Extend/ build financing offering to leasing** (incl. remarketing margin as well as repair commission income)
- **Extending from leasing into operating leases** (incl. maintenance/ insurance profits) and enable higher service level

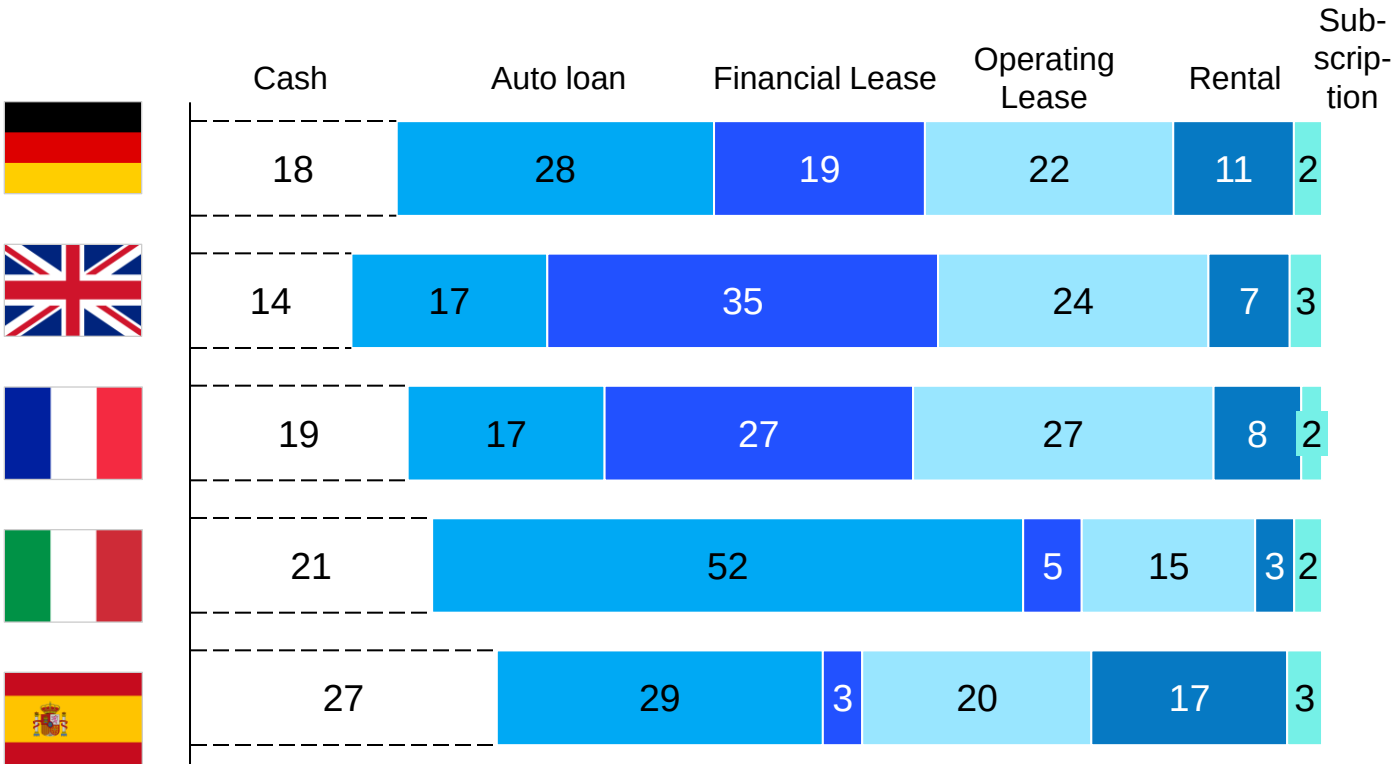
Large total autofinance profit potential of ~3,000 EUR (VW with ~1,000 EUR profit from B2C sales per vehicle)

1. Assume average annual insurance premium of EUR 880; 2. Assume average annual cost of repair is EUR 500; 3. Assume average annual cost of vehicle maintenance is EUR 800; 4. Assumption of Residual Value of ~18,000 after three years and average outstanding loan volume of 24k over avg. tenure

Source: Eurostat, McKinsey Center for Future Mobility, expert interviews

1 | Penetration rates largely depend on consumer preferences and local tax regulations

Penetration rate for new vehicle sales in Europe 2024¹, in %



1. incl. PC Consumer, PC Corporate, and LCVs <3,5t

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1 | Financing and leasing offer largest revenue opportunity while subscription exhibits largest growth rates

1. incl. PC Consumer, PC Corporate, and LCVs <3,5t

CAGR 2024 – 2030 ● <1% ● 1-5% ● 5+%

Bubble size: Value pocket size, in EUR bn

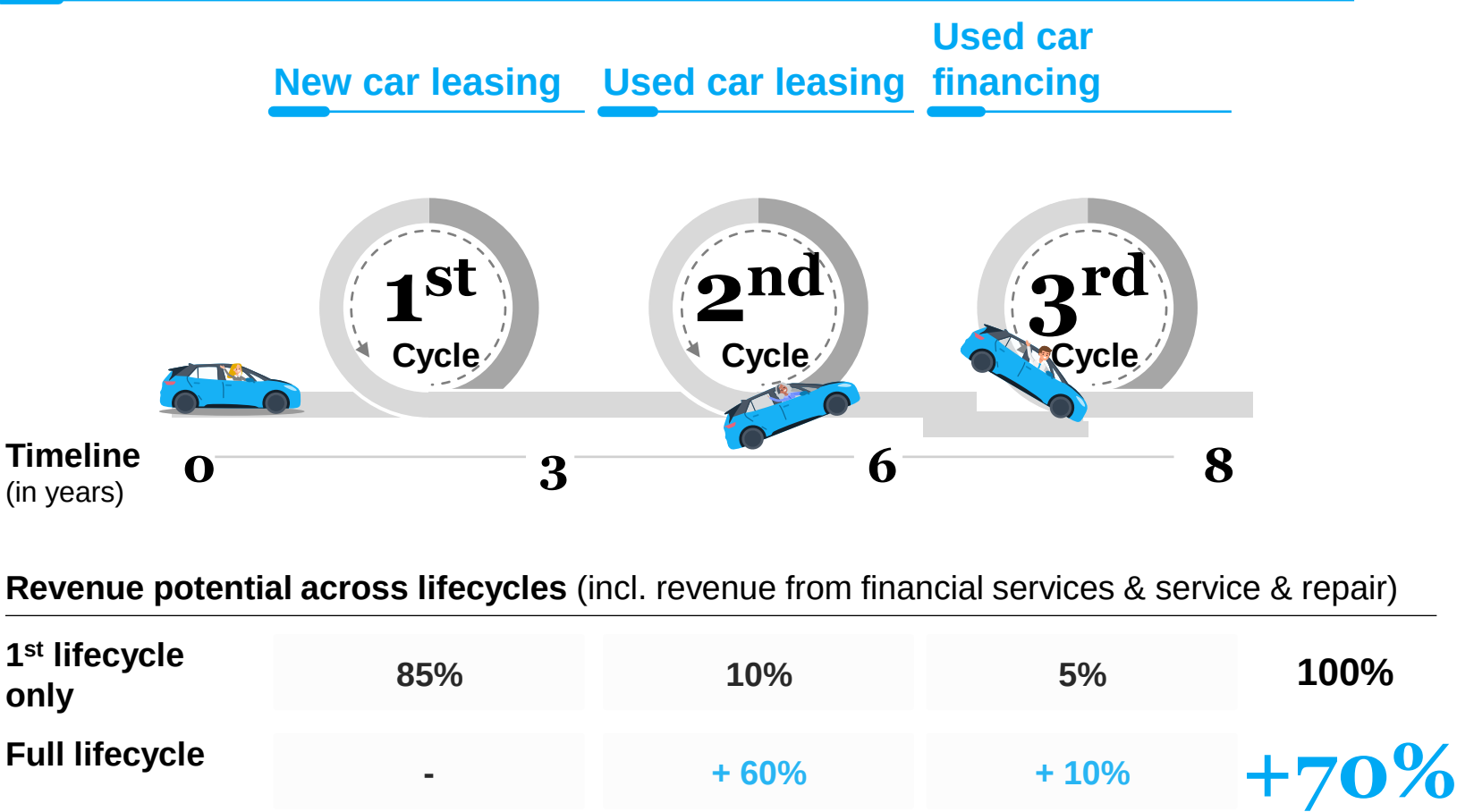
FS revenues for new vehicles¹ in Europe 2024, bn EUR

	Auto loan	Financial Lease	Operating Lease	Subscription
	3,4	3,2	3,8	0,2
	1,4	3,8	2,9	0,2
	1,3	2,9	2,9	0,1
	3,1	0,4	1,3	0,1
	1,1	0,2	1,1	0,1

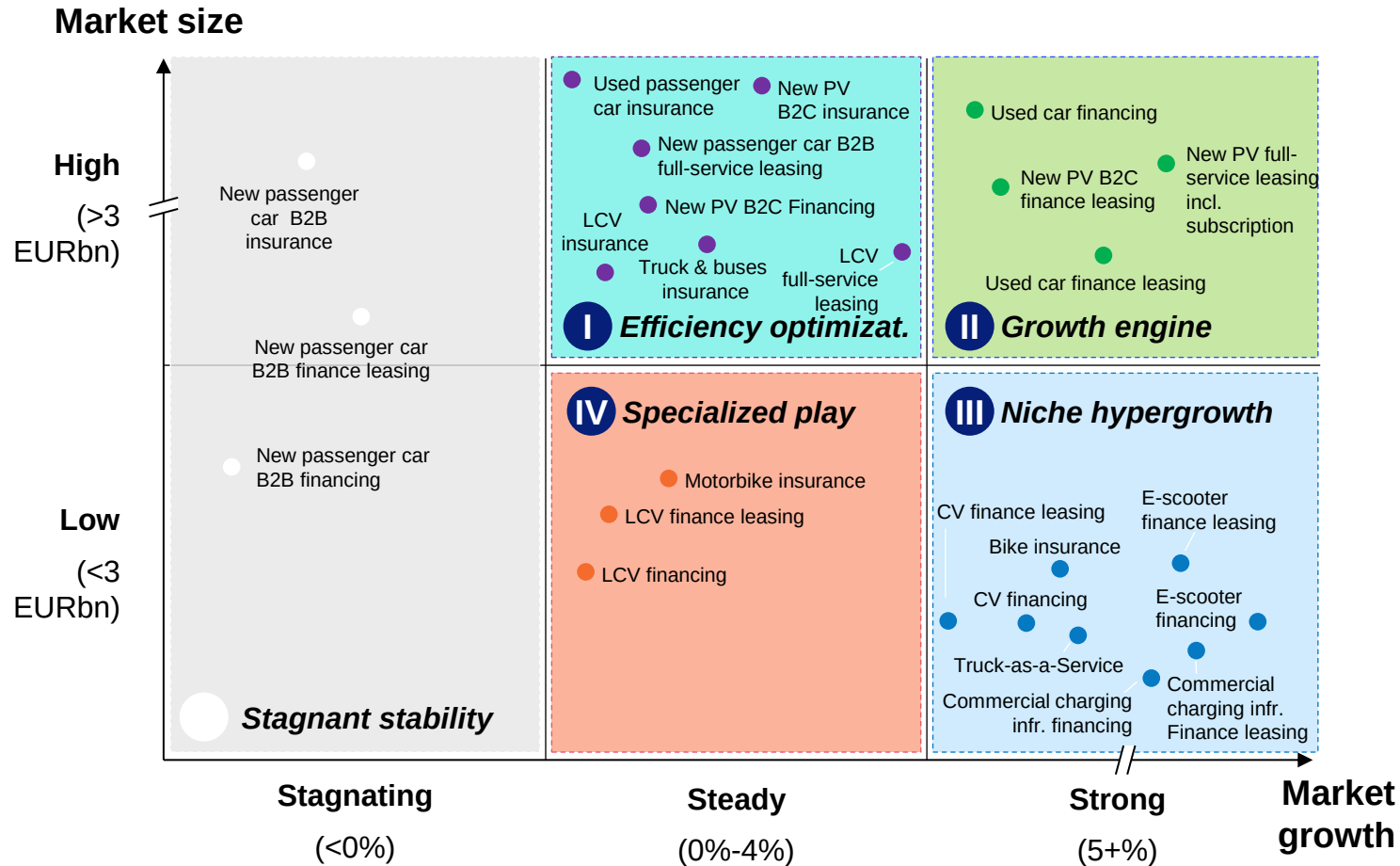
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1 | Full vehicle lifecycle value can enable +70% value creation per vehicle

Expanding the focus from 1st lifecycle only brings significant revenue potential



Five strategic plays are derived for identified value pockets



- I** **Mature markets with slow growth**
Traditional, mature FS mobility segments
Focus on **retaining market share** and **improving efficiency**
- II** **Sizable markets with above-average growth**
High potential to be the **next core FS mobility markets**
High investment needs into capabilities to achieve **market leading position**
- III** **Small markets with strong growth**
Emerging niches driven by **innovative new products**
Test and learn in new markets to access viability
- IV** **Small-medium sized markets, with steady growth**
Specialized segments with limited potential to become core segment
Full product portfolio required to become market leader
- IV** **Market segments with stagnating growth**
Core segments getting **cannibalized by other segments** (i.e., shift from financing to leasing)
Limiting investments with focus on stability and cost efficiency

In this context, 6 main value creation opportunities emerge for Eurobank to maintain its leading position in autofinance



Internal development



Partnership



Acquisition

Value creation opportunities



A | Establish a strong position in the **retail operating leasing market** (e.g., comprehensive service package, flexible contract terms)



B | Consider launching a **retail financial leasing for new cars** on dealer's network



C1 | Develop **car financing offerings** on **digital third-party channels** (e.g., marketplaces, retail partners) for **new and used cars**



C2 | Propose **car financing solutions** on **Eurobank's existing channels** (app, web) for **new and used cars**

Enhance digital presence



D | Boost **used car financing** on **dealer network**, expanding current offering to more tailored products (e.g., balloon financing) and **revamping customer/dealer journeys**



E | Launch **B2B financing offerings** tailored to **auto dealers**, providing floor plan financing and working capital loans

Potential “how to win” options for Eurobank



Internal development with **outsourcing** for specific activities (e.g., fleet mgmt.)



Partner with a **local leasing company**



Acquire a player with operating leasing capabilities



Develop internally new **financial leasing products** for **retail customers**



Expand Loan availability **via aggregators and used cars marketplaces** (e.g., Car.gr)



Acquire/partner with a **marketplace** with D2C journeys



Develop car financing offerings on **Eurobank's platform** (e.g., app, web)



Revamp the **used car journey** aligned with best in class (e.g., tablets)



Launch new products such as **balloon financing** and/ or **pre-approved vouchers**



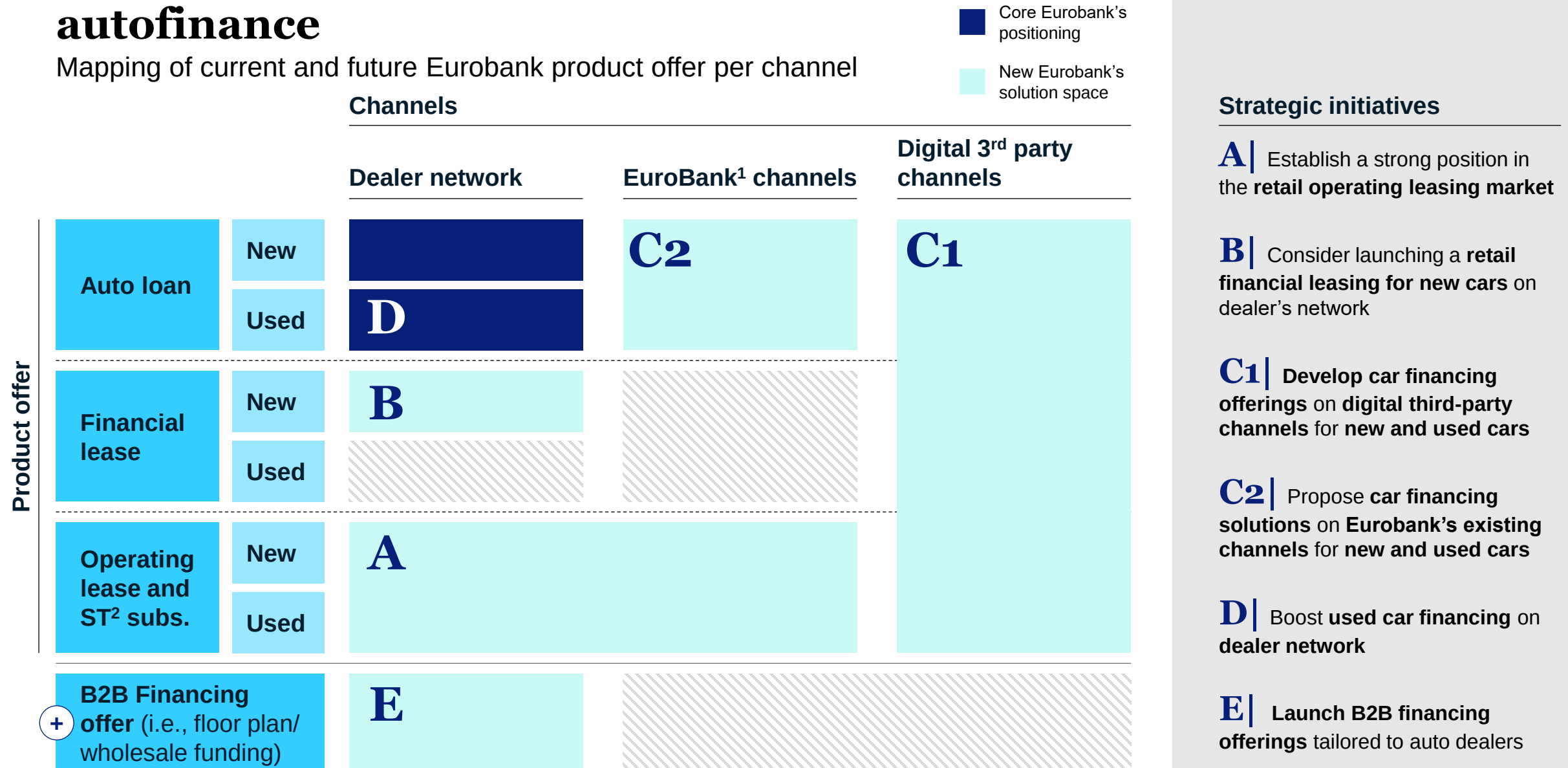
Launch a **B2B sales excellence program** for dealers



Develop floor plan that integrates with dealer systems

Evolution of Eurobank positioning in autofinance

Mapping of current and future Eurobank product offer per channel



1. Online, App, Branches ; 2. Short term subscription

A | Establish a strong position in the retail operating leasing market: solution space

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Internal development



Partnership



Acquisition

Why

- **Market Trend Shift:** autofinance is moving from ownership to usership, and operating leasing is expected to reach 30% of the total market in Europe by 2030
- **Competitive Imperative:** Eurobank should enter this segment to maintain leadership in the autofinance market and capture emerging customer preferences for flexible mobility solutions

What

Offering

- **Full-service leasing**, covering financing, insurance, maintenance, and vehicle remarketing.
- **Flexible contract terms**, allowing upgrades, extensions, or vehicle swaps

Target Segments

- **Retail** consumers who prefer a “pay-for-use” model rather than full ownership
- **Corporate and SMEs** looking to minimize upfront costs and reduce administrative overhead

Distribution Channels

- All channels (e.g., digital, Eurobank branches, existing dealer networks)

How



Combine internal capabilities (i.e. financing, insurance, distribution) with outsourcing for specific activities

- Understand asset market dynamics and lifetime value
- Buy fleet management software (e.g., Miles, Linedata)
- Outsource service and operations (e.g., GT automotive, Bosh)
- Leverage auction platforms (e.g., BCA) for re-marketing
- Develop distribution models for resale of assets



Partner with a local leasing company

- Collaborate with a local leasing company that handles fleet operations, while Eurobank provides financing, insurance, and distribution



Acquire a player with operating leasing capabilities

Financials

ROE, %

>20%

To evaluate leveraging capabilities of internal Eurobank wholesale leasing entity

Success factors

- **Residual value estimation**, particularly for electric vehicles
- **Comprehensive service package:** maintenance, repairs, tires, and insurance
- **Re-marketing**
- **Fleet management**

B | Consider launching a retail financial leasing for new cars on dealer's network: solution space

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Internal development



Partnership



Acquisition

Why

- **Financial leasing products successful** in the European **new car** market (e.g., reaching >30% of total market in G5) due to:
 - higher competitiveness vs. auto-loans (lower installment)
 - possibility to upsell services packages (e.g., insurance, maintenance and repairs)
- **Limited RV exposure:** as customers/ dealers tend to buy the vehicle at the end of the leasing period

What

Offering

- **Financial leasing** with ownership option

Target Segments

- **Retail** consumers who prefer a “pay-for-use” model rather than full ownership
- **Corporate and SMEs** looking to minimize upfront costs

Distribution Channels

- Primarily through **existing dealer networks**, leveraging Eurobank's brand and relationships

How



Develop a new financial leasing product by combining internal capabilities (i.e., financing, insurance, distribution) **with outsourcing for specific activities**

- Understand asset market dynamics and lifetime value
- Buy fleet management software (e.g., Miles, Linedata)
- Outsource service and operations (e.g., GT automotive, Bosh)
- Leverage auction platforms (e.g., BCA) for re-marketing
- Develop distribution models for resale of assets

Financials

ROE, %

>15%

Success factors

- **Quoter-based residual value estimation** to optimize leasing price and enhance risk control

C1| Develop car financing offerings on digital third-party channels for new and used cars: solution space

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Internal development



Partnership Acquisition

Why

- **Shift in Consumer Behavior:** Prime customers increasingly prefer direct bank financing, particularly for used cars, as it offers purposed loans with better terms compared to secured financing options available through dealers
- **Unlock Direct Customer Relationships:** Eurobank has an opportunity to expand beyond dealer-based financing, where already owns a large share, and serve customers directly through digital channels

What

Offering

- **Purposed/ flexible unsecured loan for used** (*detailed on strategic option D*) and **new car; financial and operating lease**

Target Segments (Retail)

- **Mostly prime/ near-prime customers** seeking competitive financing terms

Distribution Channels

- **Aggregators and used cars marketplaces** for flexible unsecured loans
- **New platform for D2C journeys**

How



Expand Loan availability via aggregators

- **Integrate** Eurobank's loan offerings using **APIs** on key aggregator platforms
- **Optimize for better visibility** and comparison across aggregator sites.



Integrate Eurobank's financing into online car marketplaces, allowing customers to apply for financing, get instant approval, and complete the purchase without leaving the platform

CARDOM



Acquire/partner with a marketplace with D2C journeys

Financials

ROE, %

>15%

Success factors

- **Customer segmentation** to minimize cannibalization of dealer-driven financing
- **APIs or WebApp** to embed in third party online sales journey
- **D2C sub-brand** to avoid conflicts with dealers (e.g., Société Générale with CGI)
- **Fast and transparent quotations**

C2 | Propose car financing solutions on Eurobank's existing channels for new and used cars: solution space

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Internal development



Partnership



Acquisition

Why

- **Untapped potential:** EuroBank channels represent an unaddressed medium for auto loans
- **All leading European auto banks** (e.g., Santander, BNPP, Crédit Agricole, Société Générale, Lloyds) already offer auto loans to their customers, available on all channels

What

Offering

- **Car financing solutions** (e.g., purposed/ flexible unsecured loan for **used** and **new cars**)

Target Segments

- **Eurobank's retail** customers

Distribution Channels

- **Eurobank's existing channels** (e.g., app, web, bank branches) for purposed auto loans

How



Develop car financing offerings on Eurobank's existing channels, e.g.,:

- **Revamp the digital loan application** journey for a smoother customer experience
- **Integrate loan offers into Eurobank's online platforms** and ensure seamless access
- **Launch a Eurobank in-app digital cash loan journey for used cars** (requiring pre-scoring customers)
- Implement a propensity model to **segment customers** and offer tailored loan products

Financials

ROE, %

>15%

Success factors

- **Customer segmentation** to minimize cannibalization of dealer-driven financing
- **Pre-scoring** of customers
- **Fully digitized journey** (KYC, digital signature)
- **Digital marketing** on existing customers

D | Boost used car purchase financing on dealer network: solution space

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Internal development



Partnership



Acquisition

Why

- **Increasing relevance of used car financing for end-consumer** driven by:
 - **Rising used car prices**, prompting consumers to seek financing options
 - **Affordable digital financing solutions at PoS or through banks**, simplifying the car purchase process
 - **Greater adoption of financial lease and balloon financing**, which require consumers to finance the remaining car value (€10-15K), driving higher demand for financing
- **Used car financing is an attractive solution for dealers** as it can help to reduce lead time and improve cash flow by speeding-up sales

What

Offering

- **Flexible autoloan products tailored for used cars** (e.g., balloon financing, financial leasing, personal loans with competitive interest rate)

Target Segments (Retail)

- **Price-sensitive individuals/ middle-income households**, seeking affordable, flexible financing options for used cars

Distribution Channels

- Eurobank **dealers network**

How



Revamp the used car journey with best in class:

- **Deploy Eurobank's web app and physical tablet at dealerships**, allowing customers to apply and get approval instantly allowing customers instant financing



Launch new products:

- **Provide pre-approved vouchers** that can be used at dealerships (e.g., Oodle in UK)
- **Develop customized financing solutions** to be seamlessly integrated into dealers' platform (e.g., Aramis, Autosphere)



Launch a **B2B sales excellence program** for dealers

Financials

ROE, %

>15%

Success factors

Adapt incentive schemes for dealers

Pre-scoring of customers

Scoring of non-bank customers

E | Launch B2B financing offerings tailored to auto dealers: solution space

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Internal development



Partnership



Acquisition

Why

- **Must-have product for dealers:** floor plan financing supports dealerships in managing their car stock and is essential for securing a share of wallet in car financing for end consumers
- **Strengthening Dealer Relationships:** entering the B2B space enables the formation of strategic partnerships with dealerships
- **Visibility on dealers data:** Floor plan financing provides full visibility into a dealership's stock, giving valuable data on performance and helping manage risk
- **Response to New Entrants:** B2B financing has been used by new entrants (e.g., Santander) to gain a foothold in the market

What

Offering

- **Floor plan financing** with flexible repayment terms
- **Working capital loans** to support day-to-day operations (TBC)

Target Segments

- Current and prospect **dealers network**

Distribution Channels

- **Eurobank's dealers** network

How



- **Develop tailored financing products with flexible terms** including floor plan financing, working capital loans

- **Enablers:**

- Build a user-friendly digital platform/ APIs that integrates with dealer management systems
- provide dealerships with necessary training and resources, including dedicated account managers and customer support, to promote Eurobank's financing solutions

Financials

ROE, %

5-20%

Success factors

- Efficient **digital integration into DMS**
- Comprehensive and updated **Risk Management** (including RAF)

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Priorities and next steps



- **Carry-on interviews** with **key Eurobank stakeholders** to discuss solution space and validate priorities
- **Assess Greek market** and **competitive landscape**, and benchmark best practices from other markets
- **Organize workshop** per idea generation